# Korea Aerospace Industries (047810 KS)

## 3Q26 review: surprise in both earnings and orders

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**BUY (M)**

| | |
|---|---|
| Target price | W182,000 (M) |
| Previous target price | W182,000 |
| Current price (Nov 03) | W97,300 |
| Upside potential | 87% |

| | |
|---|---|
| Market cap (Wbn) | 9,484 |
| Shares outstanding | 97,475,107 |
| Avg daily T/O (2M, Wbn) | 41 |
| Avg daily volume (2M, shrs) | 327,644 |
| 52-week high/low (won) | 202,000 / 97,000 |
| Foreign ownership (%) | 24.18% |
| Dividend yield (%) | 0.44% |
| Major shareholders | The Export-Import Bank of Korea |

**Stock performance**

| (%) | 1M | 3M | 12M |
|---|---|---|---|
| Absolute | (27.1) | (21.3) | (10.7) |
| Relative | (9.6) | (12.9) | (33.2) |
| Abs (US$) | (26.6) | (16.1) | (4.8) |

### 3Q26 review: set for further improvement in 4Q26

Korea Aerospace Industries posted 3Q26P revenue of W1.06tn (+51.6% YoY) and OP of W79.4bn (+31.9% YoY, OPM 7.5%). Revenue missed consensus (W1.19tn) while OP beat it (W76bn). Profitability was better than our estimate. Domestic defense and aerostructures results were softer than expected, while complete aircraft exports beat our forecast. This is attributable to one-off factors including W12bn in bad debt expense on the Iraq project, W11bn in warranty provisions for domestic and overseas programs, and W7bn in aerostructure loss provisions. Meanwhile, a favorable forex impact of roughly W30bn was likely recognized as estimated costs fell on won appreciation. In 4Q26, the firm will likely post record-high quarterly revenue again driven by deliveries of six or more KF-21 units in Korea (vs 2 units in 3Q26), the normalization of LAH deliveries (two-three units), and increased recognition of percentage-of-completion revenue on complete aircraft exports to Malaysia, Poland, and the Philippines. Profitability should also be decent as one-off factors of 3Q26 fade, but: 1) additional bad debt provisions for Iraq; and 2) in-house R&D spending (maximum of W100bn in 4Q26; 3Q26 cumulative W60bn) may affect results.

### Guidance update: 1) order target maintained; 2) downward earnings adjustments already factored in

Order momentum appears to be turning around, with the confirmation of W1.45tn in previously undisclosed aircraft export orders. Details were withheld at the customer's request, but we understand that the project was not included in the initial full-year order guidance. The company reiterated its order target of W10.4tn (1Q-3Q26 W2.2tn), with major domestic and overseas contracts concentrated in November-December. Remaining projects in the pipeline include Indonesia's KF-21 (W4tn, 16 aircraft), one overseas FA-50 contract, and the third domestic LAH production batch (W3tn, 108 helicopters). The KF-21 joint development and procurement project, which accounts for a substantial share of the $35bn defense cooperation package with the UAE, should also provide medium- to long-term growth momentum. Meanwhile, the firm lowered sales guidance by W500bn, equivalent to approximately 20 helicopters, due to LAH delivery disruptions. These delays are not attributable to the company, and the affected units are still expected to be delivered eventually.

### Maintain BUY and target price of W182,000

Robust sales growth despite uncontrollable factors, including forex movements and unavoidable delivery disruptions, demonstrates that the company is scaling up through increased production. Lingering M&A expectations should also support the share price, while improving earnings and order momentum in 4Q26 should provide upside catalysts. We maintain our BUY rating and target price, while recommending that investors monitor potential further delays and additional one-off expenses.

**Quarterly earnings**

| (Wbn) | 3Q26P | % YoY | % QoQ | Consens | vs consens (%) |
|---|---|---|---|---|---|
| Sales | 1,064 | 51.6 | -8.9 | 1,189 | -10.5 |
| OP | 79 | 31.9 | 63.9 | 76 | 4.5 |
| Pre-tax net profit | 61 | 33.7 | 144.1 | 56 | 7.7 |
| Net profit, CI | 44 | 14.3 | 23.8 | 49 | -10.2 |
| OPM (%) | 7.5 | -1.1 %pt | +3.4 %pt | 6.4 | +1.1 %pt |
| NPM (%) | 4.2 | -1.3 %pt | +1.1 %pt | 4.2 | 0 |

Note: CI = controlling interest

**Forecasts and valuations (K-IFRS, consolidated)** (Wbn)

| FY ends Dec | 2024A | 2025A | 2026E | 2027E |
|---|---|---|---|---|
| **Sales** | 3,634 | 3,696 | 5,322 | 7,027 |
| OP | 241 | 269 | 378 | 653 |
| Net profit, CI | 172 | 186 | 255 | 508 |
| P/E (x) | 30.5 | 46.1 | 37.3 | 18.7 |
| P/B (x) | 3.1 | 4.7 | 4.7 | 3.9 |
| EV/EBITDA (x) | 18.0 | 28.3 | 23.6 | 14.6 |
| ROE (%) | 10.4 | 10.5 | 13.2 | 22.8 |

Source: Yuanta Securities

*For analyst certification and other important disclosures, refer to the Appendix at the end of this report.*

**Korea Aerospace Industries: 3Q26 preliminary earnings** (Wbn)

| | 3Q26P | Our estimate | | Consensus | | QoQ | | YoY | |
|---|---|---|---|---|---|---|---|---|---|
| | | 3Q26 | Diff (%) | 3Q26E | Diff (%) | 2Q26 | QoQ (%) | 3Q25 | YoY (%) |
| **Revenue** | **1,064.3** | **1,094.1** | **-2.7** | **1,189.4** | **-10.5** | **1,167.9** | **-8.9** | **702.1** | **51.6** |
| OP | 79.4 | 77.1 | 3.0 | 76.0 | 4.5 | 48.4 | 63.9 | 60.2 | 31.9 |
| ***OPM (%)*** | ***7.5*** | ***7.0*** | ***0.4*** | ***6.4*** | ***1.1*** | ***4.1*** | ***3.3*** | ***8.6*** | ***-1.1*** |

Source: company data, FnGuide Quantiwise, Yuanta Securities

**2026 full-year guidance** (Wbn, %)

| | | 2026 cumulative earnings (A) | 2026 guidance (B) | Achievement rate (A/B) |
|---|---|---|---|---|
| Orders | Domestic | 355.6 | 2,440.6 | 14.6 |
| | **Complete aircraft** | **1,608.4** | **6,544.0** | **24.6** |
| | Aerostructure | 245.3 | 1,453.7 | 16.9 |
| | **Total** | **2,209.3** | **10,438.3** | **21.2** |
| Revenue | Domestic | 1,565.8 | 3,291.0 | 47.6 |
| | **Complete aircraft** | **959.6** | **1,390.5** | **69.0** |
| | Aerostructure | 744.7 | 1,049.1 | 71.0 |
| | **Total** | **3,270.1** | **5,730.6** | **57.1** |

Source: company data, Yuanta Securities

**Korea Aerospace Industries: earnings table** (Wbn)

| | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 1Q26 | 2Q26 | 3Q26P | 4Q26E | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Revenue** | **699.3** | **828.3** | **702.1** | **1,466.7** | **1,092.7** | **1,167.9** | **1,064.3** | **1,997.2** | **3,633.7** | **5,322.1** | **7,027.2** | **8,036.0** |
| *YoY (%)* | *22.9* | *12.9* | *-30.3* | *-2.9* | *56.3* | *41.0* | *51.6* | *36.2* | *30.4* | *44.0* | *32.0* | *14.4* |
| Domestic | 330.5 | 371.8 | 282.3 | 770.8 | 560.8 | 511.3 | 493.7 | 1,234.8 | 2,136.3 | 2,800.6 | 3,883.1 | 4,473.4 |
| Complete aircraft exports | 171.1 | 227.3 | 162.0 | 365.0 | 307.1 | 361.2 | 291.4 | 399.0 | 640.3 | 1,358.6 | 1,803.7 | 2,239.7 |
| Aerostructure | 191.2 | 218.2 | 233.8 | 301.3 | 209.9 | 272.0 | 262.8 | 348.0 | 821.8 | 1,092.7 | 1,281.5 | 1,256.2 |
| **OP** | **46.8** | **85.2** | **60.2** | **77.0** | **67.1** | **48.4** | **79.4** | **182.9** | **240.7** | **377.9** | **653.3** | **842.6** |
| *YoY (%)* | *141.3* | *915.7* | *-7.9* | *-50.1* | *43.4* | *-43.2* | *31.9* | *137.7* | *70.0* | *40.4* | *72.9* | *29.0* |
| **OPM (%)** | ***6.7*** | ***10.3*** | ***8.6*** | ***5.2*** | ***6.1*** | ***4.1*** | ***7.5*** | ***9.2*** | ***6.6*** | ***7.1*** | ***9.3*** | ***10.5*** |

Source: Yuanta Securities

**Global defense peers: valuation table** **(Wtn, x, %)**

| | | KAI | Hanwha Aerospace | Hyundai Rotem | LIG D&A | RTX | Leonardo | Hindustan Aeronautics | Elbit Systems | GE Aerospace |
|---|---|---|---|---|---|---|---|---|---|---|
| Market cap (Wtn) | | **9.5** | 38.2 | 8.4 | 9.1 | 367.4 | 44.9 | 46.7 | 46.4 | 438.1 |
| Sales (Wtn) | 2025 | **3.7** | 26.7 | 5.8 | 4.3 | 126.0 | 31.3 | 5.3 | 11.3 | 65.2 |
| | 2026E | **5.2** | 31.4 | 6.5 | 5.1 | 130.6 | 33.3 | 5.3 | 12.3 | 68.5 |
| | 2027E | **6.7** | 33.5 | 7.2 | 6.1 | 141.1 | 36.7 | 6.3 | 13.8 | 76.6 |
| | 2028E | **7.6** | 36.4 | 8.6 | 7.2 | 150.1 | 39.8 | 7.8 | 15.2 | 83.8 |
| OP (Wtn) | 2025 | **0.3** | 3.1 | 1.0 | 0.3 | 13.2 | 2.6 | 1.4 | 1.0 | 12.2 |
| | 2026E | **0.3** | 4.2 | 1.0 | 0.4 | 18.1 | 3.3 | 1.3 | 1.2 | 14.9 |
| | 2027E | **0.6** | 5.3 | 1.1 | 0.6 | 19.1 | 3.8 | 1.5 | 1.4 | 16.9 |
| | 2028E | **0.8** | 6.1 | 1.5 | 0.9 | 20.8 | 4.4 | 1.9 | 1.6 | 18.9 |
| OPM (%) | 2025 | **7.3** | 11.6 | 17.2 | 7.4 | 10.5 | 8.2 | 25.4 | 8.5 | 18.7 |
| | 2026E | **6.4** | 13.3 | 15.3 | 8.7 | 13.8 | 10.0 | 24.1 | 10.1 | 21.8 |
| | 2027E | **8.9** | 16.0 | 15.1 | 10.5 | 13.5 | 10.4 | 23.5 | 10.5 | 22.0 |
| | 2028E | **10.0** | 16.8 | 16.8 | 12.0 | 13.9 | 11.0 | 24.7 | 10.5 | 22.5 |
| Net profit (Wtn) | 2025 | **0.2** | 1.4 | 0.8 | 0.3 | 9.6 | 2.0 | 1.5 | 0.8 | 12.4 |
| | 2026E | **0.2** | 1.9 | 0.8 | 0.4 | 14.1 | 2.1 | 1.4 | 1.1 | 11.5 |
| | 2027E | **0.4** | 2.7 | 0.9 | 0.5 | 14.7 | 2.6 | 1.6 | 1.3 | 13.0 |
| | 2028E | **0.6** | 3.1 | 1.2 | 0.7 | 16.1 | 3.1 | 2.0 | 1.4 | 14.6 |
| ROE (%) | 2025 | **10.5** | 23.0 | 26.5 | 19.5 | 12.6 | 12.1 | 24.0 | 15.2 | 50.1 |
| | 2026E | **11.7** | 17.4 | 23.2 | 22.2 | 15.0 | 13.3 | 22.2 | 18.1 | 48.0 |
| | 2027E | **19.2** | 21.1 | 21.0 | 25.3 | 14.8 | 14.4 | 22.0 | 19.5 | 52.4 |
| | 2028E | **21.6** | 20.8 | 22.3 | 27.7 | 15.5 | 15.0 | 25.8 | 20.2 | 55.8 |
| P/E (x) | 2025 | **59.9** | 33.4 | 26.8 | 36.6 | 29.2 | 23.2 | 33.4 | 49.2 | 48.8 |
| | 2026E | **42.0** | 20.1 | 10.5 | 25.1 | 26.3 | 21.3 | 32.6 | 44.9 | 38.7 |
| | 2027E | **22.3** | 14.2 | 9.4 | 17.5 | 25.1 | 17.4 | 28.3 | 39.6 | 33.9 |
| | 2028E | **16.7** | 12.3 | 7.2 | 12.9 | 22.7 | 14.7 | 22.7 | 34.2 | 29.7 |
| P/B (x) | 2025 | **6.1** | 5.1 | 6.7 | 6.5 | 3.8 | 3.0 | 8.0 | 6.5 | 17.3 |
| | 2026E | **4.7** | 3.1 | 2.2 | 5.0 | 3.9 | 2.8 | 7.0 | 7.6 | 18.3 |
| | 2027E | **4.0** | 2.7 | 1.8 | 4.1 | 3.7 | 2.6 | 6.0 | 6.9 | 16.8 |
| | 2028E | **3.3** | 2.3 | 1.5 | 3.2 | 3.5 | 2.3 | 5.4 | 6.1 | 15.4 |
| EV/EBITDA (x) | 2025 | **35.1** | 15.4 | 18.2 | 22.8 | 19.8 | 13.0 | 25.0 | 28.0 | 36.7 |
| | 2026E | **26.7** | 10.4 | 5.6 | 17.7 | 18.6 | 11.8 | 25.9 | 29.8 | 30.4 |
| | 2027E | **16.9** | 8.3 | 5.1 | 13.3 | 17.3 | 10.2 | 21.9 | 25.8 | 26.9 |
| | 2028E | **13.4** | 7.4 | 3.9 | 10.2 | 15.7 | 9.1 | 17.8 | 22.2 | 24.1 |

Note: 1) Both domestic and overseas figures are expressed in Wtn; 2) based on Nov 3 closing prices; source: Bloomberg, Yuanta Securities

## Korea Aerospace Industries (047810 KS) pro forma financial statements (K-IFRS, consolidated)

### Statement of comprehensive income

| FY ends Dec (Wbn) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Sales** | **3,634** | **3,696** | **5,322** | **7,027** | **8,036** |
| Cost of sales | 3,152 | 3,088 | 4,555 | 5,790 | 6,529 |
| Gross profit | 481 | 608 | 767 | 1,237 | 1,507 |
| SG&A | 241 | 339 | 389 | 584 | 664 |
| **Operating profit** | **241** | **269** | **378** | **653** | **843** |
| EBITDA | 345 | 380 | 498 | 782 | 958 |
| Non-operating profit | -44 | -67 | -84 | -77 | -44 |
| Forex gains | -4 | 4 | 3 | 1 | 0 |
| Net interest income | -23 | -61 | -86 | -77 | -43 |
| Equity-method gains | -2 | -4 | 4 | 4 | 4 |
| Other | -14 | -6 | -6 | -6 | -6 |
| Net prof before income tax | 197 | 202 | 294 | 576 | 798 |
| Income tax | 26 | 15 | 38 | 64 | 83 |
| Net profit from continuing ops | 171 | 187 | 257 | 512 | 715 |
| Net profit from discontinued ops | 0 | 0 | 0 | 0 | 0 |
| Net profit | 171 | 187 | 257 | 512 | 715 |
| **NP for controlling interest** | **172** | **186** | **255** | **508** | **710** |
| Total comprehensive income | 156 | 175 | 244 | 499 | 702 |
| Total comprehensive income, CI | 157 | 173 | 242 | 494 | 696 |

### Statement of financial position

| FY ends Dec (Wbn) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Current assets** | **5,439** | **7,595** | **10,124** | **12,045** | **14,048** |
| Cash & cash equivalents | 115 | 61 | 1,004 | 1,439 | 2,579 |
| Accounts receivables & other | 428 | 750 | 848 | 1,120 | 1,281 |
| Inventory | 2,359 | 3,637 | 5,037 | 6,550 | 7,491 |
| Non-current assets | 2,587 | 2,775 | 2,844 | 2,905 | 2,795 |
| Tangible assets | 913 | 994 | 1,071 | 1,139 | 1,040 |
| Investment in affiliates | 15 | 10 | 15 | 20 | 22 |
| Other investment assets | 89 | 104 | 109 | 114 | 117 |
| **Total assets** | **8,026** | **10,370** | **12,967** | **14,950** | **16,843** |
| Current liabilities | 4,915 | 6,351 | 7,420 | 8,632 | 9,732 |
| Accounts payable & other | 982 | 1,029 | 1,482 | 1,957 | 2,238 |
| ST financial liabilities | 414 | 493 | 543 | 643 | 643 |
| Liquid LT liabilities | 29 | 324 | 324 | 324 | 324 |
| Non-current liabilities | 1,384 | 2,122 | 3,455 | 3,805 | 4,012 |
| LT financial liabilities | 43 | 64 | 64 | 64 | 64 |
| Debentures | 549 | 1,266 | 2,266 | 2,266 | 2,266 |
| **Total liabilities** | **6,298** | **8,473** | **10,875** | **12,436** | **13,743** |
| Equity, controlling interest | 1,706 | 1,830 | 2,023 | 2,441 | 3,021 |
| Paid-in capital | 487 | 487 | 487 | 487 | 487 |
| Capital surplus | 128 | 128 | 128 | 128 | 128 |
| Retained earnings | 1,111 | 1,235 | 1,441 | 1,871 | 2,464 |
| Equity, non-controlling interest | 21 | 67 | 69 | 73 | 78 |
| **Total equity** | **1,727** | **1,897** | **2,093** | **2,514** | **3,099** |
| **Net debt** | **923** | **2,116** | **2,222** | **1,885** | **744** |
| Total debt | 1,075 | 2,184 | 3,235 | 3,337 | 3,338 |

### Cash flow statement

| FY ends Dec (Wbn) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Operating cash flow** | **-728** | **-903** | **275** | **516** | **1,272** |
| Net profit | 171 | 187 | 257 | 512 | 715 |
| Depreciation & amortization | 82 | 93 | 103 | 112 | 99 |
| Forex gains | 11 | -4 | -3 | -1 | 0 |
| Affiliate investment gains | 2 | 4 | -4 | -4 | -4 |
| Increase in net working cap | -1,166 | -1,315 | -228 | -253 | 311 |
| Other | 171 | 130 | 151 | 151 | 151 |
| **Investing cash flow** | **-189** | **-186** | **-206** | **-206** | **-21** |
| Investment | -48 | 17 | -9 | -10 | -6 |
| Increase in tangible assets | -161 | -129 | -180 | -180 | 0 |
| Decrease in tangible assets | 1 | 0 | 0 | 0 | 0 |
| Other | 20 | -75 | -16 | -17 | -15 |
| **Financing cash flow** | **369** | **1,030** | **972** | **-7** | **-147** |
| ST financial liabilities | 394 | 77 | 52 | 102 | 1 |
| Debenture/LT financial liabilities | 42 | 1,032 | 1,000 | 0 | 0 |
| Equity | 0 | 0 | 0 | 0 | 0 |
| Cash dividend | -49 | -49 | -49 | -78 | -117 |
| Other cash flow | -18 | -31 | -31 | -31 | -31 |
| Consolidation adj and other | 4 | 5 | -99 | 133 | 36 |
| **Increase in cash & equivalents** | **-543** | **-54** | **943** | **435** | **1,140** |
| Beginning cash & equivalents | 658 | 115 | 61 | 1,004 | 1,439 |
| Ending cash & equivalents | 115 | 61 | 1,004 | 1,439 | 2,579 |
| **NOPLAT** | 241 | 269 | **378** | **653** | **843** |
| **FCF** | **-889** | **-1,032** | **95** | **336** | **1,272** |

### Valuation

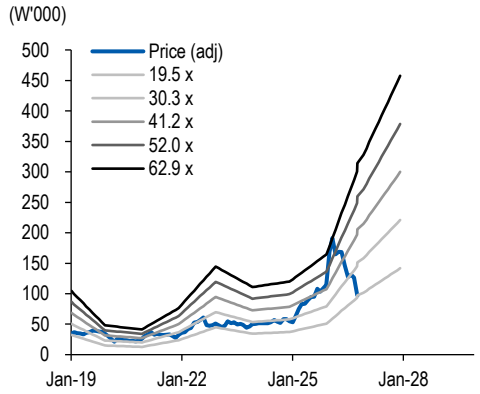
| FY ends Dec | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| EPS (won) | 1,765 | 1,907 | 2,612 | 5,210 | 7,280 |
| BPS (won) | 17,500 | 18,776 | 20,758 | 25,039 | 30,990 |
| EBITDA/shr (won) | 3,535 | 3,901 | 5,112 | 8,021 | 9,832 |
| SPS (won) | 37,279 | 37,921 | 54,599 | 72,092 | 82,442 |
| DPS (won) | 500 | 500 | 800 | 1,200 | 1,200 |
| **P/E (x)** | **30.5** | **46.1** | **37.3** | **18.7** | **13.4** |
| **P/B (x)** | **3.1** | **4.7** | **4.7** | **3.9** | **3.1** |
| **EV/EBITDA (x)** | **18.0** | **28.3** | **23.6** | **14.6** | **10.8** |
| **P/S (x)** | **1.4** | **2.3** | **1.8** | **1.3** | **1.2** |

### Key financial data

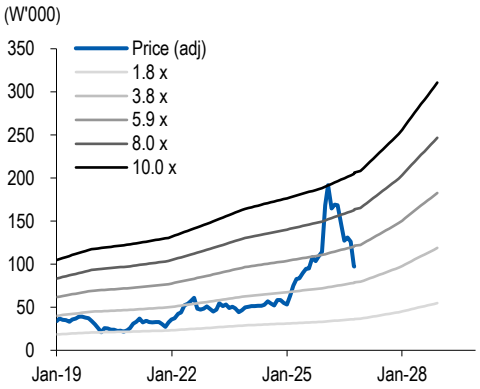
| FY ends Dec | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Sales (% YoY)** | **-4.9** | **1.7** | **44.0** | **32.0** | **14.4** |
| **Operating profit (%YoY)** | **-2.7** | **11.8** | **40.4** | **72.9** | **29.0** |
| **Net profit, CI (%YoY)** | **-23.2** | **8.0** | **37.0** | **99.5** | **39.7** |
| Gross margin (%) | 13.3 | 16.5 | 14.4 | 17.6 | 18.8 |
| **Operating margin (%)** | **6.6** | **7.3** | **7.1** | **9.3** | **10.5** |
| Net margin, CI (%) | 4.7 | 5.0 | 4.8 | 7.2 | 8.8 |
| EBITDA margin (%) | 9.5 | 10.3 | 9.4 | 11.1 | 11.9 |
| ROIC (%) | 10.2 | 7.7 | 7.8 | 12.2 | 15.7 |
| ROA (%) | 2.3 | 2.0 | 2.2 | 3.6 | 4.5 |
| **ROE (%)** | **10.4** | **10.5** | **13.2** | **22.8** | **26.0** |
| Debt-to-equity (%) | 364.7 | 446.6 | 519.7 | 494.7 | 443.5 |
| Net debt-to-equity (%) | 54.1 | 115.6 | 109.8 | 77.2 | 24.6 |
| OP/financing cost (x) | 7.2 | 4.1 | 3.4 | 4.9 | 6.2 |

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

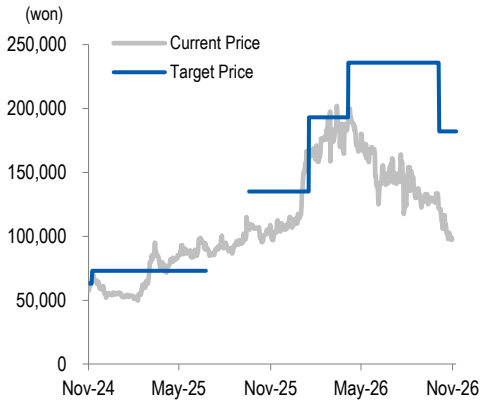
**P/E band chart**




**P/B band chart**




**Korea Aerospace Industries (047810 KS) ratings and target price history**




| Date | Rating | TP (won) | TP time frame | Difference (%) | |
|---|---|---|---|---|---|
| | | | | vs avg price | vs high (low) |
| 2026/11/04 | BUY | 182,000 | 1 yr | | |
| 2026/10/08 | BUY | 182,000 | 1 yr | | |
| 2026/04/09 | BUY | 236,000 | 1 yr | -36.93 | -15.30 |
| 2026/01/20 | BUY | 193,000 | 1 yr | -8.63 | 4.66 |
| 2025/09/22 | BUY | 135,000 | 1 yr | -16.63 | 23.41 |
| | Analyst changed | | | | |
| 2024/11/11 | BUY | 73,000 | 1 yr | -2.37 | 35.34 |
| 2024/03/06 | BUY | 63,000 | 1 yr | -16.00 | 0.00 |

Note: Difference = (actual price* - target price) / target price x 100

* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested

Source: Yuanta Securities

| Rating | Share (%) |
|---|---|
| STRONG BUY | 0 |
| BUY | 96.9 |
| HOLD | 3.1 |
| SELL | 0 |
| Total | 100.0 |

Note: As of Nov 04, 2026

Excluding reports written or published by overseas affiliates

## Appendix: Important disclosures

### Analyst certification

I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

### Stock and sector ratings

- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  **- Buy:** Expected to return between 15% and 30%
  **- Hold:** Expected to return between -15 and +15%
  **- Sell:** Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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